Group and Intergroup Relations

Based on OpenStax, *Organizational Behavior* (2019), print ISBN 978-1-59399-877-6, CC BY-NC-SA 4.0. All stories and examples below come from the chapter.

The big idea: people act differently in a group than on their own. The chapter asks four questions:

1. Why do people join groups?
2. What shapes how a group behaves? (roles, size, norms, status, cohesiveness)
3. What makes a group effective?
4. How can different groups in one company work together?

1 Groups change how people behave

STORY **Workers who hold themselves back**

Some workers **deliberately limit how much they earn** so they don't make more than the rest of their group. Others **stay in a job they don't like** because their friends work there, even when better jobs are available.

What it shows: the group often matters more to people than money or the job itself. Researchers agree "something important happens" inside groups. They just don't fully agree on what it is.

STORY **EA Engineering: one person, six teams**

At EA Engineering, an environmental consulting firm in Baltimore, employees work on **up to six projects at once**. That's normal today: **81-95% of employees worldwide** are on several teams at the same time. This can be stressful. But when a team leader **empowers** people, they become more proactive, and they **carry that attitude into their other teams**, even ones with less empowering leaders.

What it shows: group life is now multi-team life, and good leadership spreads across teams.

What counts as a group? People who share **norms** (unwritten rules), have different **roles**, and **interact** to reach **common goals**.

	Lasts a long time	Temporary
Formal (set up by the company)	**Command group**, e.g. the sales department	**Task group**, e.g. a task force on one issue
Informal (forms naturally)	**Friendship group**	**Interest group**, e.g. a network of working women

EXAMPLE **Where your desk is decides who your friends are**

Picture two floors of one building. On one, managers' offices sit in a **long row**, with their assistants in a row in front of them. People rarely interact, so groups form slowly. On the other, offices are **clustered** together, so people interact a lot and groups form quickly.

What it shows: simply being close to each other ("physical proximity") is one reason groups form. Neither layout is "better"; it just changes who bonds with whom.

The six reasons people join groups: security ("safety in numbers"), social needs (friendship), self-esteem (belonging to a prestigious group), economic self-interest (e.g. unions), mutual interests (e.g. a company baseball team), and physical proximity.

How groups develop (Tuckman): **Forming** (getting to know each other) → **Storming** (conflict over who does what) → **Norming** (rules and unity emerge) → **Performing** (focus on the work). Not every group goes through every stage,

and a group can fail at any stage.

2 Five things that shape every group

a) Roles: everyone gets a part to play

> EXAMPLE **The new person gets the coffee**
>
> A group decides that the **newest member fetches coffee** during breaks. Someone tells the newcomer, who understands what's expected and starts doing it.
>
> **What it shows:** that is a **role episode** in four steps: (1) the group forms an expectation, (2) tells the person, (3) the person perceives it, (4) the person acts on it.

Roles can be about the **task** (getting work done), about **relations** (keeping harmony), or **self-oriented** (serving yourself, often at the group's cost). Things go wrong when messages clash (**role conflict**), are unclear (**role ambiguity**), or are too many (**role overload**).

b) Size: bigger isn't better or worse; it depends on the job

> EXAMPLE **Piece-rate work vs. pooled work**
>
> In **piece-rate** work, each person adds their own output, so more people means more output. In **pooled** work, where everyone combines efforts on one thing, each new person adds less and less. Eventually they mostly add coordination problems.
>
> **What it shows:** there is no "right" group size. But bigger groups tend to have lower satisfaction, more turnover, and more **social loafing**, which is people slacking off because their own effort can't be seen.

Social loafing happens when the task feels unimportant, individual work can't be identified, or people expect others to slack. Fix: give people more responsibility and more challenging work.

c) Norms: the group's unwritten rules

> EXAMPLE **Don't speak up too much in class**
>
> Students sometimes develop an unspoken rule against **speaking up too often**, because the "visible" students are believed to raise their grades at others' expense. Workplaces have similar rules: don't produce too much (or too little), don't get too close to the boss, don't be late.
>
> **What it shows:** a **norm** is a shared standard that controls behavior. Norms only need you to *act* along; you don't have to privately agree.

> STORY **Asch's line experiment**
>
> A volunteer sat in a room with people who were secretly working for the researcher. Everyone had to say which of three lines (A, B, C) matched a sample line. The answer was clearly **A**, but the planted people all said **C**. In **over one-third of the trials**, the volunteer went along with the group, even when they were confident they were right.
>
> **What it shows:** group pressure is strong enough to make people deny their own eyes. People conform more when the situation is unclear, when they identify strongly with the group, and when their own self-identity is weaker.

STORY **The Bay of Pigs: "Don't push it any further"**

When President Kennedy's team planned the Bay of Pigs invasion of Cuba, adviser **Arthur Schlesinger** was the only one who objected. Robert Kennedy took him aside: "You may be right or you may be wrong, but the President has his mind made up. **Don't push it any further.**" The invasion failed.

What it shows: groups first **pressure a dissenter** to fall in line. If that doesn't work, they push the dissenter out rather than rethink their own beliefs. Researcher Irving Janis called this kind of process **groupthink**.

d) Status: who ranks where

STORY **Reading power from office furniture at the White House**

John Dean, counsel to President Nixon, described staff watching each other's offices closely. "Anyone who moved into a **smaller office** was on the way down. If a **carpenter**... or wallpaper hanger was busy in someone's office, this was the sure sign he was **on the rise**."

What it shows: status symbols send strong signals. Status can come from birth, personal traits, achievement, possessions, or formal authority. It motivates people, tells them how to behave, shows respect, and keeps things stable.

STORY **Status in Japanese business**

Japanese businesspeople exchange **business cards before they even say hello**, so each knows the other's rank. The lower-ranked person bows lower. In a car, the top manager sits in the back **behind the driver**. In an elevator, the most junior person stands by the buttons. In meetings, the honored seat is **farthest from the door**.

What it shows: status systems differ by culture. Western managers who don't understand them are at a real disadvantage.

EXAMPLE **The "college kid" on the janitor crew**

A college student takes a summer janitor job, and the other janitors call them the "college kid." Similar cases: the president's son rising fast, or a young manager promoted over older colleagues ("Why has this youngster been promoted over me when I have more seniority?").

What it shows: **status incongruence** is when someone's status doesn't "fit" the usual pattern. It causes jealousy, but companies that reward achievement over seniority have to accept some of this conflict.

e) Cohesiveness: how much members want to stay

STORY **Ford's F-150: "I don't think I'll ever work on a team that tight again"**

The F-150 had been one of the best-selling vehicles for more than 30 years. For the 2015 model, Ford risked big changes: a six-cylinder EcoBoost engine and an **all-aluminum body**. More than **1,000 people** worked in parallel teams for 18 months, met often, and **shared feedback across boundaries**. The truck came out **700 lb lighter** with **29% better fuel economy**. Engineer Pete Reyes: "We stuck to common goals... I don't think I'll ever work on a team that tight again."

What it shows: a close-knit team **that shares the company's goals** can achieve a lot.

What builds cohesiveness: similar members, time together, small size, frequent contact, clear goals, an outside threat or competition, and past success.

The catch: a tight group is only productive if it **accepts the organization's goals**. A tight group that rejects them performs badly.

	Accepts company goals	Rejects company goals
Tight group	**High** performance	**Low** performance
Loose group	**Moderate** performance	**Low** performance

3 Making groups effective

According to **Hackman's model**, an effective group does three things: delivers good **output**, keeps members **satisfied**, and stays able to **work together again**. To get there, it needs **effort**, **knowledge and skill**, and a sensible **strategy**. Which one matters most depends on the work: effort matters most for routine jobs, while skill matters most for complex work like R&D.

> STORY **The night shift that cleaned the tubes**
>
> A potato chip company has four plants. At the San Antonio plant, the midnight shift is **about 22-23% more productive** than any other shift (the book gives both figures). The CEO goes to watch. Seven times a night, the crew stops for **two minutes to clean oil out of the tubes** that fill the bags. They had figured out that oil buildup was slowing down the whole line.
>
> **What it shows:** groups can discover better ways of working on their own. A smart manager **spreads the idea and rewards the group** (here, supervisor Manuel Santos and his crew).

> STORY **Two new managers, two different starts (OECollaboration)**
>
> **Mike** took over an established team and, two weeks in, announced changes to remote work plus mandatory meetings with him. The team was outraged and disengaged. **Tracy** took over a similar team. She spent her first day **listening**, told them about herself, held one-on-ones about their work and career goals, and **explained why** before changing anything. Her team trusted her.
>
> **What it shows:** existing groups have strong norms and loyalties. Managers must understand group dynamics and earn trust before pushing change, or be "destined at best to achieve mediocre results."

Manager lessons: know why people are in the group, watch whether norms help or hurt, don't let conformity kill new ideas, and tie the group's success to company goals (e.g. rewards).

4 When groups have to work with other groups

Production must work with sales, and both with finance. Three things decide how hard that is:

1. How much the groups depend on each other

- **Pooled**: they barely interact but share the same organization, e.g. a university's **physics and music** departments.
- **Sequential**: one group's output is the next one's input. **Manufacturing** needs **purchasing** to deliver materials.
- **Reciprocal**: they feed each other. **Marketing** needs engineering's products to sell, and engineering needs marketing's customer information. This needs the most contact.

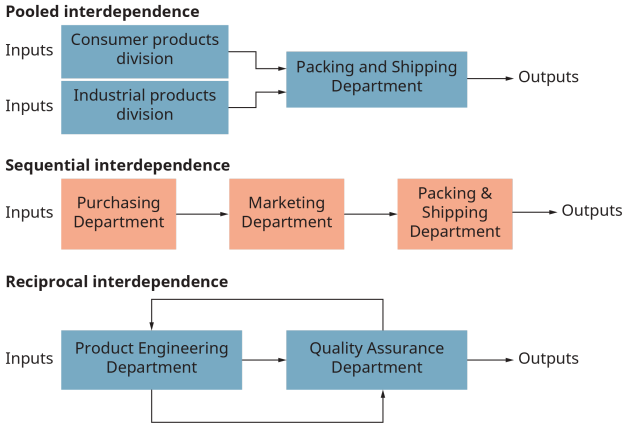


Exhibit 9.11 (OpenStax, CC BY-NC-SA 4.0). The figure uses slightly different example departments than the text.

2. How uncertain the task is. A brand-new product or an experiment needs much more communication than a routine job.

3. How different the groups' goals and time horizons are. Research thinks long-term and scientifically; **marketing** thinks short-term about customers; **production** sits in between. The answer is **not** to make everyone think alike, but to find a way to coordinate.

Five ways to get groups working together, each with the book's example

Technique	Example from the book
Rules and procedures	Require departments to post updates or tell other department heads about planned changes.
Member exchange	Temporarily move a **production engineer into quality assurance**, so they learn QA's problems and bring that knowledge back.
Linking role (permanent)	A **product manager** who coordinates manufacturing, sales, quality control, and research for one product line.
Task force (temporary)	People from across the company team up to handle a **major financial cutback** or evaluate a **joint-venture offer**.
Decoupling	**Hardware and software engineers** who keep clashing are separated. Hardware writes the specs, and software builds to them on its own.

> STORY **IBM: teams spread across the globe**
> IBM (200,000+ employees) uses a **"results-oriented work environment" (ROWE)**: people on virtual teams work from where they live and set their own hours. Each team's leadership mixes **4-5 senior executives from different regions**, so local differences are understood. **Shows:** coordinating across distance takes flexibility and engaged leaders.

Quick review: Chapter 9 in 8 lines

- **Group** = shared norms + different roles + interaction toward common goals. Groups are formal or informal, permanent or temporary.
- **Stages**: forming, storming, norming, performing.
- **Structure**: roles, size, norms, status, cohesiveness.
- **Asch** = conformity under group pressure. **Bay of Pigs** = groupthink. **Social loafing** = slacking in big groups.
- **Cohesiveness** boosts performance only if the group accepts company goals.
- **Effective group** (Hackman) = good output + satisfied members + able to work together again.
- **Between groups**: interdependence (pooled, sequential, reciprocal), task uncertainty, different goals and time horizons.
- **Fixes**: rules, member exchange, linking roles, task forces, decoupling.

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